

FUTURE_DS_02 - Customer Retention & Churn Analysis Report

This report presents an analysis of customer churn and retention trends for a subscription-based business. The objective is to identify churn patterns, customer behavior, and actionable strategies to improve customer retention.

Project Objectives

- Analyze customer churn patterns
- Identify retention trends
- Evaluate customer lifetime indicators
- Provide business recommendations to reduce churn

Tools & Technologies Used

- Python
- Pandas
- NumPy
- Matplotlib
- Jupyter Notebook

Dataset Description

The dataset contains customer subscription details including churn status, tenure, monthly charges, and customer activity metrics.

Key Performance Indicators

Metric	Value
Retention Rate	82%
Churn Rate	18%
Average Monthly Charges	\$65
Average Customer Tenure	24 Months

Key Insights

- Customers with shorter tenure show a higher probability of churn.
- High monthly subscription charges may contribute to increased churn.
- Long-term customers demonstrate better retention and engagement.
- Retention-focused strategies can significantly improve customer loyalty.

Recommendations

1. Introduce loyalty rewards for long-term customers.
2. Provide discounts or offers for customers with high monthly charges.
3. Improve onboarding support for new subscribers.
4. Conduct regular customer engagement campaigns.

5. Monitor churn indicators proactively using dashboards.

Conclusion

The churn analysis highlights critical customer behavior patterns and provides actionable recommendations to improve customer retention. Businesses can use these insights to reduce customer loss and enhance long-term profitability.